

Procurement Workflow Revision Report

Project

Procurement Management System (PR1 → GRN Workflow)

Report Type

Workflow Change Assessment & Implementation Impact Report

Date

June 2026

I. Current Workflow (Before Change)

The existing procurement workflow follows a warehouse-first validation approach, where requests are evaluated for stock availability before management approval is obtained.

Workflow:

Employee

- PR1 Creation
- Warehouse Validation
- PR1 Approval Routing
- Canvassing / RFQ
- PR2
- PR2 Approval Phase 1
- PR2 Approval Phase 2
- PO Generation
- PO Approval Routing
- Supplier PO Acknowledgment
- Delivery Tracking
- GRN
- Completed

Under this process, warehouse personnel determine whether procurement activities are required before the request enters the approval process. PR2 approvals are split into two separate approval phases, and substitute item handling is not explicitly controlled through requestor approval.

II. Revised Workflow (After Change)

The revised procurement workflow introduces an approval-first approach, ensuring that management approval is obtained before warehouse verification and procurement activities begin.

Workflow:

Employee

- PR1 Creation
- PR1 Approval Routing
- Warehouse Verification
- Canvassing / RFQ
- Supplier Quotation Submission
- Requestor Approval of Substitute Items (If Applicable)
- Supplier Evaluation and Awarding
- PR2 Generation
- PR2 Approval Routing
- PO Generation
- PO Approval Routing
- Supplier PO Acknowledgment
- Delivery Tracking
- GRN Generation
- TSQA Notice (Raw Materials Only)
- Completed

This revised structure strengthens management oversight, simplifies approval routing, formalizes substitute-item approval controls, and improves procurement governance while maintaining operational efficiency.

For raw material items, the system will display an informational TSQA notice after GRN processing. No TSQA workflow, approval routing, queue, or status will be implemented.

III. Detailed Workflow Changes

Change 1: PR1 Approval Moved Before Warehouse Verification

Previous Process

Submitted PR1 requests were routed directly to Warehouse Validation. Warehouse personnel reviewed stock availability and determined whether procurement activities were required before the request entered the approval process.

Workflow:

Employee
→ Warehouse Validation
→ PR1 Approval

Revised Process

All PR1 requests must now pass the designated approval hierarchy before warehouse review begins.

Workflow:

Employee
→ PR1 Approval
→ Warehouse Verification

Business Impact

This change establishes management approval as the first control point in the procurement process. Warehouse personnel will only review requests that have already been approved by the appropriate signatories, reducing unnecessary validation work and ensuring alignment with organizational approval requirements.

Development Impact

Update PR1 submission logic:

Current:

draft → pending_warehouse

Revised:

draft → pending_approval

Warehouse verification screens and actions must remain inaccessible until final PR1 approval is completed.

Change 2: PR1 Approval Becomes Mandatory

Previous Process

PR1 approval was only triggered when Warehouse Validation identified insufficient stock requiring procurement.

Revised Process

Every submitted PR1 must pass through approval routing regardless of stock availability.

Approval Routing:

Supervisor
→ Department Head

Business Impact

This standardizes governance across all procurement requests and provides management visibility into every request before warehouse or procurement resources are utilized.

Development Impact

Remove conditional approval creation.

Automatically create:

PR1_APPROVAL

whenever a PR1 is submitted.

Change 3: Warehouse Verification Repositioned Within the Workflow

Previous Process

Warehouse Validation served as the first operational review stage after PR1 submission.

Revised Process

Warehouse Verification now occurs only after completion of PR1 approval.

Workflow:

PR1 Approval Complete
→ Warehouse Verification

Business Impact

Warehouse personnel focus exclusively on approved requests, improving efficiency and reducing unnecessary operational effort.

Development Impact

Update workflow routing and permissions to ensure Warehouse Verification is only available after final approval.

Change 4: Formal Supplier Quotation Submission Stage Added

Previous Process

Supplier quotation activities were considered part of the RFQ process but were not explicitly represented as a separate workflow stage.

Revised Process

Supplier Quotation Submission becomes a distinct stage following RFQ issuance.

Workflow:

RFQ Issued

→ Supplier Quotation Submission

Business Impact

This provides clearer visibility into supplier participation and quotation management activities.

Development Impact

Add a dedicated quotation submission stage and tracking mechanism within the RFQ process.

Change 5: Requestor Approval Required for Substitute Items

Previous Process

Procurement could evaluate supplier quotations and alternative items without a formal requestor approval gate.

Revised Process

When suppliers propose substitute or alternative items, the original requestor must review and approve the substitute item before Procurement may select it as the winning quotation.

Workflow:

Supplier Submits Substitute Item
→ Requestor Review
→ Approve or Reject
→ Procurement Awarding

Business Impact

This ensures that substitute products or services remain aligned with the requestor's operational requirements and prevents unauthorized substitutions.

Development Impact

Implement:

- Requestor notification process
 - Substitute item approval tracking
 - Award restrictions for unapproved substitute items
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Change 6: Supplier Evaluation and Awarding Formalized

Previous Process

Supplier evaluation and awarding occurred as part of Procurement's internal RFQ activities.

Revised Process

Supplier Evaluation and Awarding becomes an explicit workflow stage following quotation collection and substitute item approval.

Business Impact

This provides better procurement traceability and clearer supplier selection governance.

Development Impact

Introduce supplier awarding records and workflow visibility for supplier evaluation activities.

Change 7: PR2 Phase 2 Approval Removed

Previous Process

PR2 approval consisted of two approval phases.

Phase 1:

Procurement Staff

→ Procurement Manager

→ Director

Phase 2:

Buyer

→ Procurement Manager

→ Director

Revised Process

PR2 approval is simplified into a single approval workflow.

Procurement Staff

→ Procurement Manager

→ Director

Business Impact

This reduces approval cycle time and removes duplicate approval activities while preserving management oversight.

Development Impact

Remove:

- PR2_PHASE2 workflow
- pending_phase2_approval
- phase2_approved

After Director approval, the workflow proceeds directly to PO Generation.

Change 8: PO Approval Routing Updated

Previous Process

Purchase Orders followed:

Buyer

→ Procurement Manager

→ Finance Director

Revised Process

Purchase Orders now follow:

Procurement Staff

→ Procurement Manager

→ Finance Director

Business Impact

This aligns Purchase Order approvals with the revised procurement organizational structure.

Development Impact

Update PO_APPROVAL configuration and role assignments accordingly.

Change 9: Raw Material TSQA Notice After GRN

Previous Process

After GRN closure, procurement requests were immediately completed.

Workflow:

Delivery

→ GRN Closed

→ Completed

Revised Process

For raw material requests, the system displays an informational TSQA notice before completion.

Workflow:

Delivery

→ GRN Closed

- Display TSQA Notice
- Completed

Business Impact

This improves awareness that raw material items are subject to separate TSQA procedures outside of the Procurement System.

Development Impact

No TSQA workflow, approval routing, queue, status, or business logic will be implemented.

The system will display an informational notice only.

IV. New End-to-End Workflow

The revised procurement workflow follows a structured approval-first approach, ensuring that management approval is obtained before warehouse verification and procurement activities begin. The following sequence describes the complete lifecycle of a procurement request from creation through completion.

Step 1: PR1 Creation and Submission

The process begins when an Employee creates and submits a Purchase Requisition Form (PR1). The request contains the required procurement details, including requested goods or services, quantity requirements, business justification, department information, and supporting attachments where applicable.

Upon submission, the PR1 automatically enters the approval workflow.

Step 2: PR1 Approval Routing

The PR1 is routed through the designated approval hierarchy before any warehouse activity takes place.

Approval Sequence:

Supervisor
→ Department Head

Only fully approved PR1 requests may proceed to Warehouse Verification.

Step 3: Warehouse Verification

Warehouse personnel review stock availability and determine procurement-required quantities.

If procurement activity is required, the request proceeds to RFQ.

For service requests, warehouse stock verification may be bypassed where inventory validation is not applicable.

Step 4: Canvassing and RFQ

Procurement creates an RFQ and invites qualified suppliers to participate.

Step 5: Supplier Quotation Submission

Suppliers submit quotations, product proposals, service proposals, specifications, and supporting documents.

Submissions may include substitute or alternative items.

Step 6: Requestor Review of Substitute Items

If a supplier submits an alternative or substitute item, the original requestor is notified and must approve or reject the proposed substitute before Procurement may award it.

Only approved substitute items may proceed to supplier awarding.

Step 7: Supplier Evaluation and Awarding

Procurement evaluates supplier quotations based on pricing, compliance, lead time, supplier accreditation status, and approved substitute items.

A winning supplier is selected.

Step 8: PR2 Generation

Procurement generates PR2 using the approved supplier and quotation details.

Step 9: PR2 Approval Routing

Approval Sequence:

Procurement Staff

→ Procurement Manager

→ Director

Upon Director approval, the process proceeds to PO Generation.

Step 10: PO Generation

Procurement generates the Purchase Order based on the approved PR2.

Step 11: PO Approval Routing

Approval Sequence:

Procurement Staff

→ Procurement Manager

→ Finance Director

Upon final approval, the PO becomes available for supplier acknowledgment.

Step 12: Supplier PO Acknowledgment

The supplier acknowledges receipt and acceptance of the Purchase Order.

Step 13: Delivery Tracking

Procurement and Warehouse personnel monitor scheduled, in-transit, delayed, and completed deliveries until physical receipt occurs.

Step 14: GRN Generation and Processing

Warehouse personnel generate the Goods Receipt Note (GRN) and record received quantities, delivery references, receipt dates, and remarks.

Step 15: TSQA Notice for Raw Material Items

For raw material requests, the system displays an informational TSQA notice after GRN processing.

No TSQA workflow, approval routing, queue, status, or system-controlled validation process will be implemented.

Step 16: Procurement Completion

After GRN processing is completed, the procurement request is considered complete.

Completion applies to:

- Goods
- Services
- Raw Materials

The procurement lifecycle concludes at this stage.

V. Status Impact Assessment

PR1

Recommended Statuses:

- draft
 - pending_approval
 - approved_for_warehouse
 - pending_warehouse
 - for_canvassing
 - canvassing_complete
 - resolved_internal
 - revision_requested
 - rejected
 - completed
-

PR2

Recommended Statuses:

- draft
- pending_approval
- approved
- revision_requested
- rejected

Removed:

- pending_phase2_approval
 - phase2_approved
-

PO

Recommended Statuses:

- draft
 - for_approval
 - approved
 - sent
-

GRN

Recommended Statuses:

- open
- closed

Completion Logic:

Delivery

→ GRN Closed

→ Completed

Applicable to Goods, Services, and Raw Material Requests.

VI. Feature Revision List

Module	Existing Behavior	Revised Behavior	Impact Level
PR1 Attachments	PR1 supports standard request details only	Add image attachment upload capability to PR1 requests	Medium
PR1 Item Classification	No distinction between services and goods	Add request type classification: Goods or Services	High
Supplier Account Management	Supplier accounts created manually one-by-one	Allow Procurement users to bulk import supplier accounts	High
Supplier Product Catalog	Catalog supports product items only	Add "Service" as a supported product type in supplier catalogs	Medium
Supplier Product / Service Accreditation	No accreditation validity tracking	Implement accreditation validation, expiration, and renewal process for registered products and services	High
Department Segregation	Requests are viewed in a common queue	Separate requests by department for visibility, filtering, reporting, and workflow management	High
Procurement Permissions	Procurement Manager has limited permissions compared to Procurement Staff	Grant Procurement Manager the same operational permissions as Procurement Staff	High

Substitute Item Approval	Procurement can evaluate supplier quotations only	Requestor approval required before substitute items can be selected as winning quotations	High
TSQA Notice	No TSQA visibility after GRN	Display informational TSQA notice after GRN processing for raw materials	Low

VII. Database and Workflow Components Affected

Approval Workflows

- PR1_APPROVAL
- PR2_PHASE1
- PO_APPROVAL

Business Logic

- PR1 Submission Logic
- Warehouse Verification Logic
- Supplier Quotation Submission Logic
- Substitute Item Approval Logic
- Supplier Awarding Logic
- PR2 Approval Logic
- PO Approval Assignment Logic

User Interface

- PR1 Image Attachments
- Goods / Services Classification
- Substitute Item Approval Screen
- TSQA Notice Display
- Department-Based Filtering

Supplier Management

- Supplier Account Import
- Supplier Product Catalog Service Type
- Accreditation Lifecycle Management
- Accreditation Renewal Tracking

Notifications

- PR1 Approval Notifications
- Warehouse Assignment Notifications
- Substitute Item Approval Notifications
- Supplier Award Notifications
- Completion Notifications

Dashboard & Reporting

- Procurement Dashboard
- Approval Queues
- Warehouse Queue
- Supplier Accreditation Dashboard
- Department-Based Reporting
- Procurement Completion Reports